

In fact, when I entered the mutual fund industry 57 long years ago, its money managers invested pretty much in the manner prescribed by Graham. Then, the portfolios of the major equity funds consisted largely of diversified lists of blue-chip stocks, and their portfolio managers invested for the long term. They eschewed speculation, operated their funds at costs that were (by today's standards) tiny, and delivered marketlike returns to their investors. However, as their long-term records clearly show, those fund managers were hardly "wizard[s] in picking winners."

Costs Rear Their Ugly Head

Today, if fund managers can claim to be wizards at anything, it is in extracting money from investors. In 2007, the direct costs of the mutual fund system (largely management fees and operating and marketing expenses) totaled more than \$100 billion. In addition, funds are also paying tens of billions of dollars in transaction fees to brokerage firms and investment bankers and, indirectly, to their lawyers and all those other facilitators. Fund investors are also paying another estimated \$10 billion of fees each year to financial advisers.

But in their defense, mutual funds represent just one part—actually a relatively *small* part—of the total costs that investors incur in our nation's system of financial intermediation. Add to that \$100 billion in mutual fund costs a mere \$380 billion in additional investment banking and brokerage costs, plus all those fees paid to the managers of hedge funds and pension funds, to bank trust departments and financial advisers and for legal and accounting fees, and the tab comes to roughly \$620 billion annually. (No one knows the exact number. All that can be said for certain is that, one way or another, these billions are paid by the investors themselves.)

And don't forget that these costs recur year after year. If the present level holds—I'm guessing that it will grow—aggregate intermediation costs would come to a staggering \$6 trillion for the next decade. Now think about these cumulative costs relative to the